

Problem - 3.5A

Insurions of Texas

Adjusting Entries

October 31, 19x2

SL. NO	Account Title	Debit	Credit
a.	Rent expense	2700	
	Prepaid rent		2700
b.	Supplies expense	440	
	Supplies		440
c.	Depreciation expense	700	
	Accumulated depreciation		700
d.	Advertising expense	320	
	Accounts payable		320
e.	Salary expense	180	
	Salary payable		180
f.	Unearned commission revenue	290	
	Commission revenue		290

Insurions of Texas
Adjusted Trial Balance
October 31, 19X2

Account Title	Trial Balance		Adjustments		Adjusted Trial Balance	
	Debit	Credit	Debit	Credit	Debit	Credit
Cash	1460				1460	
Accounts receivable	14750				14750	
Prepaid rent	3100			(a) 2700	400	
Supplies	780			(b) 440	340	
Furniture	22370				22370	
Accumulated depreciation		11640		(c) 700		12340
Accounts payable		1040		(d) 320		2260
Salary payable				(e) 180		180
Unearned Commission revenue		2290	(f) 290			2000
Peggy Bailes, capital		24140				24140
Peggy Bailes, withdrawals	2900				2900	
Commission revenue		8580		(f) 290		8870
Salary expense	2160		(e) 180		2340	
Rent expense			(a) 2700		2700	
Utilities expense	340				340	
Depreciation expense			(c) 700		700	
Advertising expense	730		(d) 320		1050	
Supplies expense			(b) 440		440	
Total	<u>48590</u>	<u>48590</u>	<u>4630</u>	<u>4630</u>	<u>49790</u>	<u>49790</u>

Insunons of Texas
Income Statement
For the month ended October 31, 19x2

Revenue:

Commission revenue → 8870

Expenses:

Salary expense → 2340

Rent expense → 2700

Utilities expense → 340

Depreciation expense → 700

Advertising expense → 1050

Supplies expense → 440

Total expense → (7570)

Net income → \$ 1300

Insunons of Texas

Owner's Equity

For the month ended October 31, 19x2

Capital (Beginning) → 24140

(+) Net income → 1300

(-) Withdrawals → (2900)

Capital (Ending) → \$ 22540

Insurions of Texas

Balance sheet

October 31, 19x2

<u>Assets</u>	<u>Liabilities</u>
Cash → 1460	Accounts payable → 2260
Accounts receivable → 14750	Salary payable → 180
Prepaid rent → 400	Unearned commission revenue → 2000
Supplies → 340	Total liabilities → 4440
Furniture → 22370	Owner's Equity
Less:	Capital → 22540
Accumulated depreciation → (12340)	
Total assets → <u>\$26980</u>	Total liabilities and Owner's equity → <u>\$26980</u>

Problem - 3.6A

Tradewinds Travel Designers
Income Statement

for the month ended December 31, 19x6

Revenue:

Service revenue → 127880

Expenses:

Depreciation expense -

Office equipment → 6680

Depreciation expense -

Office furniture → 2370

Salary expense → 39900

Rent expense → 14400

Interest expense → 3100

Utilities expense → 2670

Insurance expense → 3810

Supplies expense → 2950

Total expense → (75880)

Net income → \$52000

Tradewinds Travel Designers
Owner's Equity

For the month ended December 31, 19x6

Monica Gillen, Capital (Beginning)	→ 6090
Add:	
Net income	→ 52000
Less:	
Monica Gillen, withdrawals	→ 44000
Monica Gillen, Capital (Ending)	→ <u>\$14090</u>

Tradewinds Travel Designers
Balance Sheet

December 31, 19x6

<u>Assets</u>	<u>Liabilities</u>
Cash → 3390	Accounts payable → 3640
Accounts receivable → 11920	Property tax payable → 1100
Supplies → 2300	Interest payable → 830
Prepaid rent → 600	Unearned service revenue → 620
Office equipment → 21180	Note payable → 27500
Less:	Total liabilities → <u>\$33690</u>
Accumulated depreciation - Office equipment → (4350)	
Office furniture → 17680	<u>Owner's Equity</u>
Less:	Monica Gillen, Capital → 14090
Accumulated depreciation - Office furniture → (4870)	
Total assets → <u>\$47780</u>	Total liabilities and Owner's equity → <u>\$47780</u>

Problem - 3.5B

Griffin Realty
 Adjusting Entries
 August 31, 19x6

Sl. No	Account Title	Debit	Credit
a.	Rent expense Prepaid rent	1800	1800
b.	Supplies expense Supplies	300	300
c.	Depreciation expense Accumulated depreciation	400	400
d.	Advertising expense Accounts payable	110	110
e.	Salary expense Salary payable	550	550
f.	Unearned commission revenue Commission revenue	1120	1120

Griffin Realty
Adjusted Trial Balance
August 31, 19x6

Account Title	Trial Balance		Adjustments		Adjusted Trial Balance	
	Debit	Credit	Debit	Credit	Debit	Credit
Cash	2200				2200	
Accounts receivable	23780				23780	
Prepaid rent	2420			(a) 1800	620	
Supplies	1180			(b) 300	880	
Furniture	19740				19740	
Accumulated depreciation		3630		(c) 400		4030
Accounts payable		2410		(d) 110		2520
Salary payable				(e) 550		550
Unearned commission revenue		2790	(f) 1120			1670
Tom Griffin, capital		39510				39510
Tom Griffin, withdrawals	4800				4800	
Commission revenue		11700		(f) 1120		12820
Salary expense	3800		(e) 550		4350	
Rent expense			(a) 1800		1800	
Utilities expense	550				550	
Depreciation expense			(c) 400		400	
Advertising expense	1570		(d) 110		1680	
Supplies expense			(b) 300		300	
Total	<u>60040</u>	<u>60040</u>	<u>4280</u>	<u>4280</u>	<u>61100</u>	<u>61100</u>

Griffin Realty
Income Statement
For the month ended August 31, 19x6

Revenue:

Commission revenue	→	12820
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Expenses:

Salary expense	→	4350
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Rent expense	→	1800
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Utilities expense	→	530
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Depreciation expense	→	400
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Advertising expense	→	1680
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Supplies expense	→	<u>300</u>
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Total expense	→	(9080)
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Net income	→	<u>\$3740</u>
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Griffin Realty
Owner's Equity
For the month ended August 31, 19x6

Tom Griffin, Capital (Beginning)	→	39510
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ADD:

Net income	→	3740
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Less:

Tom Griffin, withdrawals	→	(4800)
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Tom Griffin, Capital (Ending)	→	<u>\$38450</u>
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Griffin Realty
Balance Sheet
August 31, 19x6

<u>Assets</u>	<u>Liabilities</u>
Cash → 2200	Accounts payable → 2520
Accounts receivable → 23780	Salary payable → 550
Prepaid rent → 620	Unearned
Supplies → 880	commission revenue → 1670
Furniture → 19740	Total liabilities → <u>\$4740</u>
Less:	<u>Owner's Equity</u>
Accumulated depreciation → (4030)	Tom Griffin,
	Capital → 38450
Total assets → <u>\$43190</u>	Total liabilities & Owner's equity → <u>\$43190</u>

Problem-3.7B

Tenni Peterson, Audio Therapist
Adjusting Entries

October 31, 19x2

Sl. No	Account Title	Debit	Credit
a.	Rent expense Prepaid rent	1000	1000
b.	Supplies expense Supplies	200	200
c.	Depreciation expense Accumulated depreciation	250	250
d.	Salary expense Salary payable	300	300
e.	Accounts receivable Consulting service revenue	1000	1000

Tenni Peterson, Audio Therapist

Adjusted Trial Balance

October 31, 19x2

Account Title	Trial Balance		Adjustments		Adjusted Trial Balance	
	Debit	Credit	Debit	Credit	Debit	Credit
Cash	16300				16300	
Accounts receivable	8000		(e) 1000		9000	
Prepaid rent	4000			(a) 1000	3000	
Supplies	600			(b) 200	400	
Furniture	15000				15000	
Accumulated depreciation		3000		(c) 250		3250
Accounts payable		2800				2800
Salary payable				(d) 300		300
Tenni Peterson, Capital		36000				36000
Tenni Peterson, withdrawals	3600				3600	
Consulting service revenue		7400		(e) 1000		8400
Salary expense	1400		(d) 300		1700	
Rent expense			(a) 1000		1000	
Utilities expense	300				300	
Depreciation expense			(c) 250		250	
Supplies expense			(b) 200		200	
Total	<u>40200</u>	<u>40200</u>	<u>2750</u>	<u>2750</u>	<u>50750</u>	<u>50750</u>

Terri Peterson, Audio Therapist
Income Statement
For the month ended October 31, 19x2

Revenue:

Consulting Service revenue → 8400

Expenses:

Salary expense → 1700

Rent expense → 1000

Utilities expense → 300

Depreciation expense → 250

Supplies expense → 200

Total expense (3450)

Net income → \$4950

Terri Peterson, Audio Therapist
Owner's Equity
For the month ended October 31, 19x2

Terri Peterson,

Capital (Beginning) → 36000

Add:

Net income → 4950

Less:

Terri Peterson,

Withdrawals → (3600)

Terri Peterson,

Capital (Ending) → \$37350

Tenni Peterson, Audio Therapist

Balance Sheet

October 31, 19x2

<u>Assets</u>	<u>Liabilities</u>
Cash → 16300	Accounts payable → 2800
Accounts receivable → 9000	Salary payable → 300
Prepaid rent → 3000	Total liabilities → <u>\$3100</u>
Supplies → 400	<u>Owner's Equity</u>
Furniture → 15000	Tenni Peterson,
Less:	Capital → 97350
Accumulated depreciation → (3250)	
Total assets → <u>\$40450</u>	Total liabilities & Owner's equity → <u>\$40450</u>

Problem - 4.3A

Dave Laufenberg, M.D.

Adjusting Entries

December 31, 19x2

Sq. No.	Account Title	Debit	Credit
a.	Supplies expense Supplies	4000	4000
b.	Depreciation expense Accumulated depreciation	6000	6000
c.	Salary expense Salary payable	3000	3000
d.	Accounts receivable Service revenue	4000	4000
e.	Unearned Service revenue Service revenue	2000	2000

Dave Laufenberg, M.D.

Worksheet

For the year ended December 31, 19x2

Account Title	Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Balance Sheet	
	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit
Cash	8000				8000				8000	
Accounts receivable	44000		(d) 4000		48000				48000	
Supplies	6000			(a) 4000	2000				2000	
Equipment	57000				57000				57000	
Accumulated depreciation		12000		(b) 6000		18000				18000
Accounts payable		4000				4000				4000
Salary payable				(c) 3000		3000				3000
Unearned service revenue		2000	(e) 2000							
Note payable, long-term		40000				40000				40000
Dave Laufenberg, Capital		41000				41000				41000
Dave Laufenberg, Withdrawals	54000				54000				54000	
Service revenue		133000		(d) 4000 (e) 2000		139000		139000		
Salary expense	36000		(c) 3000		39000		39000			
Supplies expense			(a) 4000		4000		4000			

Account Title	Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Balance Sheet	
	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit
Depreciation expense			(b) 6000		6000		6000			
Interest expense	5000				5000		5000			
Rent expense	12000				12000		12000			
Insurance expense	10000				10000		10000			
Net income							63000			63000
Total	<u>232000</u>	<u>232000</u>	<u>19000</u>	<u>19000</u>	<u>245000</u>	<u>245000</u>	<u>139000</u>	<u>139000</u>	<u>169000</u>	<u>169000</u>

Problem - 4.10

Ross Family Painting Contractors
Adjusting Entries
July 31, 19x3

Sl. No.	Account Title	Debit	Credit
a.	Wage expense	440	
	Wage payable		440
b.	Supplies expense	2920	
	Supplies		2920
c.	Insurance expense	500	
	Prepaid insurance		500
d.	Interest expense	180	
	Interest payable		180
e.	Unearned service revenue	4770	
	Service revenue		4770
f.	Advertising expense	100	
	Accounts payable		100
g.	Accounts receivable	1100	
	Service revenue		1100
h.	Depreciation expense - equipment	430	
	Accumulated depreciation - equipment		430
i.	Depreciation expense - building	270	
	Accumulated depreciation - building		270

Ross Family Painting Contractors
Worksheet
for the month ended July 31, 19x3

Account Title	Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Balance sheet	
	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit
Cash	4200				4200				4200	
Accounts receivable	37820		(g) 1100		38920				38920	
Supplies	17660			(b) 2920	14740				14740	
Prepaid insurance	2300			(c) 500	1800				1800	
Equipment	32690				32690				32690	
Accumulated depreciation — equipment		26240		(h) 430		26670				26670
Building	36890				36890				36890	
Accumulated depreciation — building		10500		(h) 270		10770				10770
Land	28300				28300				28300	
Accounts payable		22690		(d) 100		22790				22790
Interest payable				(d) 180		180				180
Wage payable				(a) 440		440				440
Unearned service revenue		10560	(e) 4770			5790				5790

Account Title	Trial Balance		Adjustments		Adjusted trial Balance		Income Statement		Balance sheet	
	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit
Note payable, long-term		22400				22400				22400
Peter Ross, capital		62130				62130				62130
Peter Ross, withdrawals	4200				4200				4200	
Service revenue		17190		(e) 4770 (8) 1100		23060		23060		
Depreciation expense—equipment			(h) 430		430		430			
Depreciation expense—Building			(h) 270		270		270			
Wage expense	6200		(a) 440		6640		6640			
Insurance expense			(c) 500		500		500			
Interest expense			(d) 180		180		180			
Utilities expense	270				270		270			
Property tax expense	840				840		840			
Advertising expense	340		(f) 100		440		440			
Supplies expense			(b) 2920		2920		2920			
Net income							10570			10570
Total	<u>171710</u>	<u>171710</u>	<u>10710</u>	<u>10710</u>	<u>174230</u>	<u>174230</u>	<u>23060</u>	<u>23060</u>	<u>161740</u>	<u>161740</u>

Problem - 4.23

Federal Security Couriers
Worksheet

For the year ended June 30, 1971

Account Title	Adjusted Trial Balance		Income Statement		Balance Sheet	
	Debit	Credit	Debit	Credit	Debit	Credit
Cash	18350				18350	
Accounts receivable	26470				26470	
Supplies	1290				1290	
Prepaid Insurance	1700				1700	
Equipment	55800				55800	
Accumulated depreciation-equipment		16480				16480
Building	144900				144900	
Accumulated depreciation-building		16850				16850
Accounts payable		36900				36900
Interest payable		1490				1490
Wage payable		770				770
Unearned service revenue		2300				2300
Note payable, long-term		97000				97000
Ramon DeSoto, capital		67390				67390
Ramon DeSoto, withdrawals	45300				45300	
Service revenue		108360		108360		
Depreciation expense-equipment	6300		6300			
Depreciation expense-building	3470		3470			
Wage expense	18800		18800			
Insurance expense	3100		3100			
Interest expense	11510		11510			
Utilities expense	4300		4300			
Property tax expense	2670		2670			
Supplies expense	3580		3580			
Net income			54630			54630
Total	<u>347540</u>	<u>347540</u>	<u>108360</u>	<u>108360</u>	<u>293810</u>	<u>293810</u>